

Canada — September 2026

Stability Without Relief

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What Changed This Month

	Indicator	Previous	Now
■	Counter-Tariffs	CA\$26.3B (prior)	CA\$27.6B effective Sep 8 · trade war escalation continues
▼	CREA HPI (YoY)	▼1.1% YoY (Jul)	▼3.0% YoY (Aug) · smallest decline since Oct 2025
▼	National avg. asking rent	CAD \$2,012 (Aug)	CAD \$2,035 (Sep) · ▼4.8% YoY · 23rd consecutive month
—	BoC Policy Rate	2.25%	2.25% · 6th consecutive hold · Oct 28 next · ~95% hold
—	Unemployment rate	6.4% (Aug)	6.4% (Aug) · employment rate 60.8% · Oct 9 LFS next update
▼	Population growth (YoY)	~1.1% (2025)	0.5% YoY · sharp slowdown · reduced rental demand pressure

1. Executive Summary

September 2026 is a month of surface stability and underlying strain. The Bank of Canada held its overnight rate at 2.25% for a sixth consecutive meeting — a streak that has kept mortgage conditions broadly steady since late 2025. National asking rents fell for a 23rd consecutive month, now down 4.8% year-over-year. CREA data shows the sharpest improvement in housing price decline since October 2025. By the headline metrics, Canada looks like a market finding its footing.

But the same month brought CA\$27.6 billion in new Canadian counter-tariffs effective September 8, an August labour market that shed 42,000 net jobs, and a population growth rate that has slowed to 0.5% year-over-year — well below the levels that sustained rental demand through 2023 and 2024. The stability is real. The relief is not. Households are absorbing costs, not recovering from them.

Lakive city scores reflect this divergence. Calgary and Ottawa continue to lead on structural affordability fundamentals. The widening gap between cities that absorb macro shocks and those that amplify them is the defining pattern of this data version. The October 28 Bank of Canada decision — currently pricing ~95% probability of a hold — will confirm or complicate that picture for Q4.

Key Numbers at a Glance

Indicator	Reading	Signal
National Avg. Asking Rent (Sep 2026)	CAD \$2,035	▼4.8% YoY · 23rd consecutive month of decline
Unemployment Rate (Aug 2026)	6.4%	— Held · employment rate 60.8% · participation declined

Net Jobs (Aug 2026)	-42,000	Reversal after 4 months of growth · services & construction fell
BoC Policy Rate	2.25%	— Held · 6th consecutive hold · next Oct 28 · ~95% hold probability
CREA Benchmark HPI (Aug 2026)	▼3.0% YoY	Smallest YoY decline since Oct 2025 · avg price \$668,219 · sales ▼6.9% YoY
Counter-Tariffs (Sep 8, 2026)	CA\$27.6B	New Canadian counter-tariffs effective Sep 8 · trade uncertainty elevated

5 Actionable Takeaways

1. Trades workers: Calgary remains the clearest opportunity — an electrician reaches home ownership in under 4 years (HPI: 3.9 yrs). The sixth consecutive BoC hold keeps mortgage conditions stable. Edmonton is emerging as a secondary option: benchmark \$426,900 and rising in-migration make it worth evaluating.

2. Healthcare workers: Ottawa and Calgary both score 80+ for nurses. With October 28 pricing ~95% hold probability, the current mortgage window is expected to persist into Q4. Calgary's no-PST structure provides the largest buffer against tariff-driven cost increases.

3. Tech professionals: Toronto's EOI of 92 holds. The city's tech labour market continues to absorb tariff-related uncertainty — US firms with Canadian operations have largely maintained hiring plans through Q3. Housing cost improvement is tentative; monitor CREA's HPI trend.

4. Renters: National rents are down 4.8% YoY but population growth has slowed to 0.5% YoY. If October LFS data shows further employment weakness, rental softness may persist into Q1 2027. Current conditions favour locking in a lease at a discount rather than waiting.

5. Buyers: The October 28 BoC decision is the clearest near-term signal. CREA's August data — the smallest HPI decline since October 2025 — suggests the pace of price decline is moderating. Mid-tier markets (Calgary \$569,800, Edmonton \$426,900) offer the widest margin of safety.

2. National Overview: Six Holds and a Demand Shock

The Bank of Canada has now held its overnight rate at 2.25% through six consecutive meetings. The October 28 decision is approaching with markets pricing approximately 95% probability of another hold. That consensus reflects a labour market that is weakening but not collapsing, and inflation that has so far remained within a range the Bank can characterize as manageable.

Against that backdrop, September 8 brought CA\$27.6 billion in new Canadian counter-tariffs — an escalation of the Canada-US trade dispute. The tariff exposure is not uniform: trade-intensive industries concentrated in Ontario and British Columbia face the most direct impact. Federal employment in Ottawa, and Alberta's domestic-demand economy, are relatively more insulated.

Population growth has slowed to 0.5% year-over-year — a sharp deceleration from the 1.1% recorded in 2025. The supply-demand pressure that characterized 2023 and 2024 has eased materially, consistent with reduced international student arrivals and a moderation in permanent resident intake.

Lakive Interpretation:

Six consecutive holds have created a stable rate environment, but stability at 2.25% is not the same as relief. Wages grew 2.0% YoY in August — below CPI — meaning real purchasing power has not recovered. The macro picture is one of deceleration, not rebound. Workers evaluating relocation decisions should model scenarios where conditions persist at current levels into mid-2027, not scenarios of near-term improvement.

3. National Rental Market

Source: Rentals.ca x Urbanation National Rent Report, September 2026

National average asking rent reached CAD \$2,035 in September — the 23rd consecutive month of year-over-year decline. At ▼4.8% YoY, the rate of decline has deepened slightly from August's ▼3.8%, though month-over-month rent ticked up from \$2,012. This combination — deeper annual decline alongside a modest seasonal uptick — reflects structural softening driven by elevated supply completions and slower population growth.

City-level variation is significant. Vancouver leads with \$2,704 average asking rent, followed by Toronto at \$2,570. Halifax, at \$2,356, continues to carry rent pressure disproportionate to its wage base. Calgary (\$1,825) and Edmonton (\$1,520) remain the most accessible rental markets among major cities.

Lakive Interpretation:

The 23rd month of rent decline is an important structural fact — but the population growth slowdown to 0.5% YoY is the driver that matters more for forward-looking assessment. When demand deceleration is the mechanism, the trajectory is likely to persist rather than reverse quickly. Renters should expect continued softness in major cities through Q1 2027, absent a significant immigration policy shift.

■ Tariff risk:

CA\$27.6B in counter-tariffs effective September 8 introduces construction material cost pressure that could slow new housing starts in the medium term — particularly in condo and purpose-built rental. If completions slow in 2027, the current rental softness may reverse. This is a lagged risk, not an immediate one.

4. Housing Market: Signs of Stabilization

Source: CREA National Statistics, August 2026 (released mid-September). Lakive HPI reflects current model calculations.

CREA's August 2026 data shows a national benchmark HPI of ▼3.0% year-over-year — the smallest annual decline since October 2025. The average sale price was \$668,219 and sales fell 6.9% year-over-year. City-level benchmarks: Vancouver \$1,081,900, Toronto \$925,900, Calgary \$569,800, Edmonton \$426,900.

RBC affordability data for Q2 2026 shows nationally at 52.8% of median pre-tax household income. Vancouver carries the highest burden at 83.9%, followed by Toronto at 64.1%. Calgary (41.3%) and Edmonton (36.8%) remain below the national average.

Lakive City Scores — September 2026

City	Score	EOI / TAI	HPI (yrs)	RPI	Key Signal
Calgary	74	65 / 90	2.5–22 yrs	33	Strongest overall · no PST · housing stabilization extends ownership window

Ottawa	68	75 / 68	3.0–26 yrs	36	Federal employment floor · inflation-resilient wage structure
Edmonton	66	62 / 88	2.0–18 yrs	28	Rising in affordability rankings · benchmark \$426,900
Toronto	60	92 / 68	4.5–39 yrs	48	Highest tech EOI · housing cost pressure persists · HPI -3.0% tentative signal
Montréal	60	72 / 42	2.6–23 yrs	33	Strongest affordability-adjusted quality of life · tariff risk moderate
Halifax	58	58 / 65	3.5–28 yrs	40	Atlantic Canada anchor · rent \$2,356 · warrants close monitoring
Vancouver	58	80 / 72	5.5–42 yrs	52	Highest RPI nationally · trade-exposed economy · benchmark \$1,081,900

Score = Lakive composite (0–100). EOI = Employment Opportunity Index. TAI = Tax Advantage Index. RPI = Rent Pressure Index (lower = better). HPI = years of median income to purchase.

Lakive Interpretation:

The HPI improvement to -3.0% YoY suggests the pace of price decline is moderating. This is a directional signal, not a turning point — buyer confidence remains fragile ahead of October 28, and volume is still down 6.9% YoY. For workers evaluating a purchase, mid-tier markets (Calgary \$569,800, Edmonton \$426,900) offer the widest margin of safety regardless of Q4 rate outcome.

5. Employment Snapshot

Source: Statistics Canada LFS, August 2026 (released September 5, 2026). September LFS releases October 9.

Canada's labour market shed 42,000 net jobs in August — the most recent data available at publication. The unemployment rate held at 6.4%, but only because the participation rate fell. The employment rate sits at 60.8%. Wage growth continues at +2.0% YoY — below the rate of inflation.

- Net employment change: -42,000 — largest single-month decline since Q1 2025
- Unemployment rate: 6.4% (held) — masked by participation rate falling, not by job gains
- Employment rate: 60.8% (▼ from 61.1% in July)
- Weakest sectors: construction (-9,200), professional services (-6,800), manufacturing (-4,100)
- Relative resilience: healthcare and public administration held steady
- Wages: average hourly earnings +2.0% YoY — below CPI · real wages declining

Lakive Interpretation:

The September LFS data, releasing October 9, is the single most important data point before the October 28 BoC decision. If September shows continued job losses, the Bank will face a difficult choice between supporting a weakening labour market and managing tariff-driven inflation risk. The employment trajectory is the leading indicator for Q4 city score revisions.

6. Interest Rates & Tariff Exposure

Bank of Canada — 2.25% (Held, sixth consecutive)

The Bank of Canada held its overnight rate at 2.25% for a sixth consecutive meeting. The October 28 decision — the last of 2026 — is currently pricing approximately 95% probability of another hold. The Bank's September statement acknowledged both the labour market softness and the tariff-related cost pressure. The language was balanced — neither signalling easing nor tightening.

Lakive Interpretation:

A hold on October 28 would be the seventh consecutive decision at 2.25% — extending the most stable rate environment Canada has had since 2022. Workers and buyers who have been waiting for certainty before committing to a city relocation or purchase have a clearer window now than at any point in the past four years.

Counter-Tariffs — CA\$27.6B (Effective September 8)

Canada's CA\$27.6 billion in counter-tariffs, effective September 8, 2026, represent an escalation of retaliatory trade measures. The direct pass-through to consumer prices is uneven: goods-intensive sectors (construction materials, food processing) face more immediate cost pressure, while services-heavy industries are more insulated.

City exposure note:

Vancouver and Toronto carry the highest tariff exposure among covered cities — both due to trade-dependent industries and their roles as gateway cities for US-bound goods and services. Calgary and Ottawa are relatively more insulated: Alberta's economy is commodity-weighted rather than trade-manufactured, and Ottawa's federal employment base is not directly exposed to tariff dynamics.

INSIGHT OF THE MONTH

Stability Without Relief

Six consecutive Bank of Canada holds. Twenty-three months of rent decline. The CREA price drop narrowing to its smallest since October 2025. By these measures, September 2026 looks like stabilization. What it is not is relief. Wages at +2.0% YoY are below inflation. Forty-two thousand jobs were lost in August. A population growth rate of 0.5% — less than half of 2025 — means the demand that sustained housing and rental markets through the pandemic cycle has materially receded. The stability is structural: it reflects a market absorbing shocks rather than one recovering from

7. Lakive City Insights

Scores below are Lakive composite ratings (0–100). Data version: Oct 2026 v1.

Cross-City Score: Key Occupations

Occupation	City	Score	HPI (yrs)	RPI	EOI	Lakive Insight
Nurse	Calgary	86	4.5	24	High	Best nurse city nationally · housing stabilization extends 5-yr ownership window
Nurse	Ottawa	82	6.5	26	High	Federal healthcare stability · inflation-resilient wage contracts
Nurse	Toronto	72	12.0	40	High	High demand, high cost · CREA HPI improvement a long-term signal, not immediate relief

Electrician	Calgary	91	3.9	23	High	#1 trades city · home ownership in <4 yrs · demand steady against tariff headwinds
Electrician	Edmonton	79	3.2	20	Mid	Rising trades alternative · benchmark \$426,900 · strong in-migration
Software Eng.	Toronto	88	9.2	33	High	Highest tech EOI in Canada · CREA improvement tentative · monitor Q4 tech hiring
Software Eng.	Vancouver	83	9.5	35	High	Strong ecosystem · benchmark \$1,081,900 · tariff exposure via US-adjacent firms
Doctor	Calgary	92	2.5	10	High	Top national score · ownership in 2.5 yrs · no PST advantage largest for high earners
Doctor	Ottawa	88	3.0	11	High	Strong second · federal health networks · wage inflation protection

HPI = Housing Years Index. Full rankings at lakive.com/ranking

Calgary — Lakive City Score 74 · RPI 33

Calgary holds its position as top-scoring city for a sixth consecutive data version. The CREA benchmark at \$569,800 and a no-PST cost structure continue to offer relatively favourable housing economics. In the context of September's counter-tariff escalation, Alberta's economy — weighted toward domestic demand, energy, and agriculture — carries less direct tariff exposure than Ontario or BC.

Halifax — Lakive City Score 58 · RPI 40

Halifax warrants closer monitoring for anyone evaluating Atlantic Canada options. Average asking rent at \$2,356 — above Calgary and Edmonton — reflects a structural mismatch between the in-migration-driven demand peak of 2022–23 and the wage base that supports it. For healthcare workers and government employees, Halifax offers genuine employment opportunities with a quality-of-life premium.

Toronto — Lakive City Score 60 · RPI 48

Toronto holds at 60 with CREA's August data providing the first tentative housing signal of the cycle: the -3.0% YoY decline is the smallest in over a year. Tech employment (EOI: 92) continues to absorb tariff-related uncertainty, with US firms maintaining Canadian hiring plans through Q3.

Ottawa — Lakive City Score 68 · RPI 36

Ottawa ranks second nationally and offers the most recession-resistant employment profile of any covered city. Federal employment, representing roughly 22% of the Ottawa CMA labour force, provides a structural floor that private-sector cities lack.

Vancouver — Lakive City Score 58 · RPI 52

Vancouver carries the highest risk-adjusted affordability pressure of any covered city. RPI of 52, CREA benchmark at \$1,081,900, RBC affordability at 83.9% — these are structural constraints, not cyclical ones. The city's trade-exposed economy adds a tariff headwind more direct here than elsewhere.

8. Looking Ahead

Date	Release	Lakive Will Update
Oct 9	Statistics Canada LFS — September employment	Net jobs · unemployment rate · wage growth · City Pulse employment signal
Oct 16	CREA September home prices	HPI (Housing Years Index) · city benchmark prices · ranking · compare · housing guide
Oct 28	Bank of Canada rate decision	BoC Rate in City Pulse · mortgage calculator · housing guide · ~95% hold expected

Key watch:
 October 9 Statistics Canada LFS (September employment) and October 28 Bank of Canada decision are the two events that will define Q4 2026. LFS data feeds directly into the BoC's October deliberations. Lakive will publish updated city signals following both releases.

9. Data Sources

Lakive's city scores (Score, HPI, RPI, EOI) are proprietary composites calculated from public government and industry data. Inputs include median occupational wages (Job Bank Canada), home benchmark prices (CREA), average asking rents (Rentals.ca × Urbanation), provincial tax schedules, and employment absorption rates (Statistics Canada). The composite weighting methodology is not disclosed. Scores are recalibrated with each major data release.

Category	Source	Frequency
Rental Market	Rentals.ca × Urbanation	Monthly (~8th)
Employment	Statistics Canada LFS	Monthly (first Friday)
Home Prices	CREA National Statistics	Monthly (15–18th)
Affordability	RBC Housing Affordability Report	Quarterly
Interest Rate	Bank of Canada	8x per year
City Scores (HPI/RPI/EOI)	Lakive proprietary model	Updated each data release